

CUSTOMER STORY

L&T Finance: Providing opportunities for small businesses with quicker loan processing



L&T Finance implemented Google Workspace to better connect remote offices to its head office, accelerating the loan approval process for rural business owners across India. ✕

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L&T Finance is a leading financial services company transforming lives in rural India with a core focus on rural, housing, and wholesale loans. Serving 11 million customers to date, L&T Finance leads the industry with fast turnaround times for loan approvals by adopting analytics and cloud technology.



India

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Google Workspace Results

- Improves customer experience by reducing loan disbursement from six hours to under two hours
- Launches an easy-to-use digital loan approval application in just 30 days
- Processes 95% of motorcycle loans in less than two minutes
- Migrates approximately 14,500 employees to Google Workspace in less than 90 days

Approving loans in minutes instead of hours

[L&T Finance](#) is one of the largest lenders in India. India's demonetization policy in recent years has led to a shift from cash transactions to digital payments. In 2016, the government withdrew 500 and 1000 rupee notes from circulation and encouraged a heavily cash-based population to deposit their cancelled notes in banks. Financial institutions have had to pivot to a new way of doing business to stay competitive.



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borrowers with the complexities of getting a loan. Towards this end, digitization is an important step,” says Dinanath Dubhashi, Managing Director and CEO at L&T Finance. “[Google Cloud](#) helps us streamline service delivery and identify the right customers. By offering the fastest processing time in the industry, we want to be the go-to lender for all customers.”

L&T Finance considered multiple cloud providers before choosing Google Cloud. According to Dinanath, Google Cloud understands both the need for businesses to move fast and the need for IT to modernize at different speeds. “We weren’t forced to abandon existing IT systems and migrate lock, stock, and barrel to Google Cloud on day one.”

L&T Finance engaged [Google Cloud Professional Services](#) to guide its digital transformation journey. The smooth migration from proof of concept to full-scale deployment on Google Cloud took a matter of months.

Digitizing the workforce with Google Workspace

The move to the cloud at L&T Finance started in 2017 when the company introduced [Google Workspace](#) to its 14,500 employees. The legacy email system was cumbersome to use, especially for frontline staff who need email access while they are on the road. Using [Gmail](#), employees can connect with customers and co-workers from anywhere, on any device. Employees save time by scheduling meetings with

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Modernizing business operations by moving to Google Cloud

The next step in digitization was to optimize IT operations by moving core business applications to a cloud platform that meets current and future needs. The legacy infrastructure was composed of disparate IT systems that were expensive to maintain and resulted in data silos. L&T Finance benefit from a cloud-based architecture by managing resources more efficiently, accelerating app development, and deploying machine learning to gain business insights.

“In this fast-paced, high-stakes digital world, IT modernization is crucial to any business that wants to operate with agility and efficiency. Migrating to Google Cloud accelerates data-driven decisions and application development in a secure environment.” — Dinanath Dubhashi, Managing Director and CEO, L&T Finance

“In this fast-paced, high-stakes digital world, IT modernization is crucial to any business that wants to operate with agility and efficiency. Migrating to Google Cloud accelerates data-driven decisions and application development in a secure environment,” Dinanath adds. “Besides, we gain operating efficiencies by being able to scale up and down on cloud capacity according to our business needs.”

Turning loan officers into “branches” with Google Cloud mobile solutions

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are empowered with mobile tools to provide one-stop-shop financial services such as loan sanctioning, loan disbursement, and debt repayment.

Google Cloud Professional Services team worked with L&T Finance to design and deploy the B2C app using Google Cloud mobile solutions such as [Firebase](#), [Cloud Firestore](#), [Cloud Functions](#), and [Cloud SQL](#). This app supports a number of concurrent users and can be used offline in areas with poor connectivity. It was smoothly migrated from proof of concept to full-scale deployment in a matter of months for speedy time to market.

Loan officers use this mobile app to authenticate a borrower's identity through biometric-based verification and perform credit evaluation through credit scores and online assessments. On the back end, this app integrates with more than 15 critical real-time data sources, including India's biometric ID system, Aadhaar. The application is pre-filled with the applicant's data, thus reducing human error and repetitive admin work.

After capturing the customer data, loan officers run the credit assessment and sanction loans within seconds. The app also integrates with various payment gateways to allow borrowers to pay their debts.

Converting data into credit insights using BigQuery

Previously, the decentralized IT architecture meant data resided in different locations and was difficult to track and manage. Google Cloud provides L&T Finance with a comprehensive view of the business and the ability to analyze data for business insights. Using APIs and SDKs, L&T Finance integrates data points from internal sources such as

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Taking data intelligence one step further, L&T Finance adopts a responsible lending approach by applying algorithm-based data analytics to improve credit standards. Beyond traditional data such as credit score and credit payment history, the company also considers macro-economic indicators for risk audits. For example, a farmer's ability to pay off the loan of his new tractor depends on a successful planting and harvest. So L&T Finance feeds long-term data into [BigQuery](#) and runs queries to predict loan defaults based on rainfall and crop yield.

"We designed and built an algorithm for credit scoring that predicts risk more accurately than human underwriters. This machine-leading model powered by BigQuery reduces delinquency rates and improves portfolio quality," says Dinanath. "We continue to improve the performance of real-time predictions by feeding extensive data collected across our network into Google Cloud."

Improving security and compliance with Google Cloud

Businesses around the world are taking a stronger stance on cybersecurity to counter potential reputational and financial risks. Likewise, L&T Finance treats the security of customer and enterprise data with utmost importance.

"We've implemented a three-tier security architecture with multiple layers of defense and security to prevent unauthorized access, computer viruses, or other data security breaches," says Dinanath. "Google Cloud offers a host of security solutions, such as [Cloud Identity and Access Management](#) and [Cloud Data Loss Prevention](#) to tackle different threats and unauthorized access to our network."

As a financial institution, L&T Finance is required to follow "Know Your Customer" (KYC) guidelines set forth by the Reserve Bank of India to combat money laundering. Together with Google Cloud, L&T Finance has implemented a robust security architecture to ensure the security of customer and enterprise data.



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